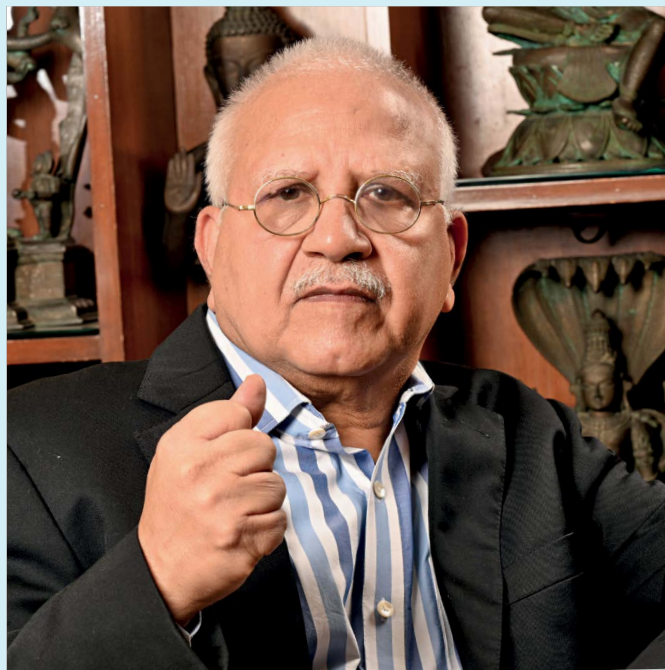


“ONE CAN DRIVE GROWTH EVEN BY SELLING AT 0”

J.N. Gupta, Managing Director of proxy advisory firm Stakeholders Empowerment Services, and former Executive Director of Sebi, on why compliance must be approached as a safeguard and not an obligation

BY **PALAK AGARWAL**



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AS SEVERAL UNPROFITABLE

start-ups move towards public markets, a familiar pattern is emerging. There is sudden profitability, sharp reductions in losses, and a fresh focus on financial discipline before going public. Are these signs of real business maturity, or are they just cosmetic changes meant to impress investors? In this interview, JN Gupta, Managing Director of Stakeholders Empowerment Services, a proxy advisory firm, and Former Executive Director of Sebi, explains why companies preparing for an initial public offering (IPO) often display dramatic financial turnarounds. Edited excerpts:

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Why do many IPO-bound start-ups show a sudden swing to profitability or a sharp loss reduction just ahead of listing?

Among IPO-bound companies, it is common to see a visible improvement in profits or revenues in the year immediately preceding the issue, compared to earlier years. While generalisations are risky, this usually happens for one of two reasons. Either the company has genuinely reached a scale or maturity where profitability has become achievable, or there may be deliberate actions taken to present a stronger financial picture ahead of listing.

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When a company has been operating in losses for years since incep-

tion, does a sudden turnaround to profit raise questions around governance and maturity? Are start-ups viewing compliance as a burden rather than a necessity?

Compliance is essential. Unfortunately, it is often seen as a pain point rather than a foundational requirement. The mindset tends to be, “We are doing this because the regulator requires it.” Instead, compliance should be viewed as a tool to keep the company healthy. Strong governance frameworks exist to protect the business and its stakeholders, and compliance must be approached through that lens—not as an obligation, but as a safeguard.

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Does the timing of these profitability improvements raise red flags?

Any abnormal financial movement warrants closer scrutiny.

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Does start-up growth often come at the cost of profitability, given the ‘growth-at-all-costs’ mindset?

I would never prioritise growth purely for the sake of numbers. If profitability is not a concern and capital is unlimited, you can sell everything at zero and still show growth. But what is the value of that growth? Ultimately, the purpose of any business is to generate profit—whether financial returns or clearly defined social value. Growth without a path to profitability is meaningless unless its objective is clearly articulated and achievable. **BT**

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